

		Petition also alleges the City materially altered Real Parties' permit application contrary to the Notice of Hearing and after public comment closed. (Petition, ¶¶ 64-67.) Real Parties fail to explain, or cite evidence demonstrating, how the foregoing allegations cannot support a substantive due process claim. The demurrer on this ground is thus not well-taken. Because the substantive due process claim remains viable, the court need not reach Real Parties' argument pertaining to procedural due process. (See <i>Elder v. Pacific Bell Telephone Co.</i> (2012) 205 Cal.App.4th 841, 856 fn 14 [general demurrer does not lie as to a portion of a cause of action].) The demurrer directed to the due process claim is thus OVERRULED. Real Parties' request for judicial notice as to Exhibit 1 is GRANTED as to the existence of and legal effects of the records, but not as to the truth of any disputed facts asserted therein. (Ev. Code §452(d); <i>Fontenot v. Wells Fargo Bank, NA</i> (2011) 198 Cal.App.4th 256, 264; <i>Arce v. Kaiser Foundation Health Plan, Inc.</i> (2010) 181 Cal.App.4th 471, 482.) Real Parties' request for judicial notice as to Exhibits 2 and 3 is DENIED as the records are not relevant to the disposition of the motion. (<i>Center for Community Action & Environmental Justice v. City of Moreno Valley</i> (2018) 26 Cal.App.5th 689, 695, fn 4 [declining to take judicial notice of records not necessary for court's analysis].) Counsel for Petitioners shall give notice of these rulings.
14	Cornejo vs. Schoolsfirst Federal Credit Union	Defendant Safeco Insurance Company of America's ("Defendant") motion for summary judgment. or in the alternative, summary adjudication, is GRANTED in part and DENIED in part. Granted as to causes of action ("COA") nos. 3, 4, and 6, Denied as to COA nos. 1, 2, and 7, and punitive damages. <u>COA No. 1 – Breach of Contract</u> The elements for breach of contract are: (1) parties capable of contracting, (2) mutual consent, (3) a lawful object, (4) sufficient cause or consideration, (5) plaintiff's performance or excuse for failure to perform, (6) defendant's breach, and (7) damage. (Civil Code §§ 1550, 1605; <i>Stockton Mortgage, Inc. v. Tope</i> (2014) 233 Cal.App.4th 437, 453; <i>Gomez v. Lincare, Inc.</i> (2009) 173 Cal.App.4th 508, 525.) "A contract is extinguished by its rescission." (Civ. Code § 1688.) "[U]pon a rescission of a policy of insurance, based upon a material concealment or misrepresentation, all rights of the insured thereunder (except the right to recover any consideration paid in the purchase of the policy) are extinguished. . ." (<i>Imperial Cas. &</i>

Indem. Co. v. Sogomonian (1988) 198 Cal. App. 3d 169, 184.) A party to a contract may rescind the contract if consent to the contract was obtained through fraud. (Civ. Code § 1689.) “[U]nder the present interpretation of the Insurance Code, an insurer may rescind the contract of insurance ab initio for a material misrepresentation—even though the insured's misstatements were the result of negligence or, indeed, the product of innocence.” (*Barrera v. State Farm Mut. Automobile Ins. Co.* (1969) 71 Cal.2d 659, 666, fn. 4.)

As noted above, for rescission the misstatements of fact must be material.

“The materiality of a misrepresentation is determined by its probable and reasonable effect upon the insurer. (Ins.Code, § 334.) The misrepresentation need not relate to the loss ultimately claimed by the insured. [Citation.] The test for materiality is whether the information would have caused the underwriter to reject the application, charge a higher premium, or amend the policy terms, had the underwriter known the true facts. (*Old Line Life Ins. Co. v. Superior Court* (1991) 229 Cal.App.3d 1600, 1604, 281 Cal.Rptr. 15 [“ ‘The most generally accepted test of materiality is whether or not the matter misstated could reasonably be considered material in affecting the insurer's decision as to whether or not to enter into the contract, in estimating the degree or character of the risk, or in fixing the premium rate thereon ’ [Citations.]”]; *Holz Rubber Co., Inc. v. American Star Ins. Co.* (1975) 14 Cal.3d 45, 61, 120 Cal.Rptr. 415, 533 P.2d 1055 [“Materiality is determined by the probable and reasonable effect that truthful disclosure would have had upon the insurer in determining the advantages of the proposed contract. [Citations.] Essentially, we must decide whether the insurer was misled into accepting the risk or fixing the premium of insurance. [Citations.]”].) “This is a *subjective* test; the critical question is the effect truthful answers would have had on [the insurer], not on some ‘average reasonable’ insurer [Citations].

Mitchell v. United Nat'l Ins. Co. (2005) 127 Cal.App.4th 457, 474.

Defendant produced evidence that plaintiff Blanca Cornejo’s (“Plaintiff”) application for the subject insurance policy (“Policy”) contained misstatements or omissions regarding prior insurance policies on the property being cancelled. “California Insurance Code section 332 provides that each party to a contract of insurance must communicate to the other, in good faith, all facts within his knowledge which are, or to which he believes to be, material to the contract. As such, a material misrepresentation or concealment in an insurance application, whether intentional or unintentional, entitles the insurer to rescind the insurance policy ab initio. [Citation]; Cal. Insur. Code § 331. California Insurance Code section 330 defines “concealment” as “[n]eglect to communicate that which